

IKK CORPORATE HR MEETING REPORT 21.01.2019



REPORT CONTEXT

01

UNITECH NITAQAT UPDATE IN MOL SYSTEM

01

BETA CONTECH NITAQAT UPDATE IN MOL SYSTEM

02

UNITECH'S POSITIONS / DESIGNATIONS FOR SAUDI

03

TRAINING PROGRAMS (GENERIC SOFT SKILLS & TECHNICAL TRAINING)

05

SAUDI DEVELOPMENT FRAMEWORK

06

CRITERIA OF IDENTIFYING HIGH POTENTIAL

SAUDIZATION

NITAQAT UPDATE IN MOL SYSTEM

01

UNITECH NITAQAT UPDATE

RED%	YELLOW%	LOW GREEN%	MED GREEN%	HIGH GREEN%	PLATINUM%
00 23	24 29	30 33	34 38	39 44	45 100

Current Percentage

31ST OF DEC 2018
BIG SIZE COMPANY (500 TO 2,999)

: AS ON :
: COMPANY SIZE :

538 : TOTAL NO. OF EMPLOYEES :
186 : NO. OF SAUDI EMPLOYEES :
341 : NO. OF NON-SAUDI EMPLOYEES :
11 : OTHERS :
34.60 (MED GREEN) : PERCENTAGE :

2018

RED%	YELLOW%	LOW GREEN%	MED GREEN%	HIGH GREEN%	PLATINUM%
00 16	17 23	24 26	27 31	32 36	37 100

28TH OF FEB 2019
MEDIUM SIZE COMPANY (499 TO 50)

Minimum Target

422 : TOTAL NO. OF EMPLOYEES :
131 : NO. OF SAUDI EMPLOYEES :
282 : NO. OF NON-SAUDI EMPLOYEES :
09 : OTHERS :
31.10 (MED GREEN) : PERCENTAGE :

2019

BETA CONTECH NITAQAT UPDATE

RED%	YELLOW%	LOW GREEN%	MED GREEN%	HIGH GREEN%	PLATINUM%
00 05	06 08	09 12	13 16	17 21	22 100

31ST OF DECEMBER 2018
SMALL SIZE COMPANY (10 TO 49)

: AS ON :
: COMPANY SIZE :

28 OF FEBRUARY 2019
SMALL SIZE COMPANY (10 TO 49)

12 : TOTAL NO. OF EMPLOYEES :
02 : NO. OF SAUDI EMPLOYEES :
10 : NO. OF NON-SAUDI EMPLOYEES :
00 : OTHERS :
9.75 (LOW GREEN) : PERCENTAGE :
16.67 (MED GREEN)

Minimum Target

SFSP NITAQAT UPDATE

RED%	YELLOW%	LOW GREEN%	MED GREEN%	HIGH GREEN%	PLATINUM%
00 06	07 15	16 20	21 25	26 30	31 100

31ST OF DECEMBER 2018
MEDIUM SIZE CO. (01 TO 499)

: AS ON :
: COMPANY SIZE :

28 OF FEBRUARY 2019
MEDIUM SIZE CO. (01 TO 499)

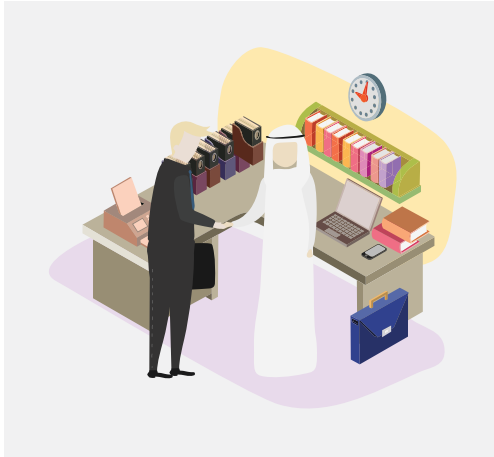
174 : TOTAL NO. OF EMPLOYEES :
33 : NO. OF SAUDI EMPLOYEES :
141 : NO. OF NON-SAUDI EMPLOYEES :
01 : OTHERS :
22.83 (MED. GREEN) : PERCENTAGE :
22.83 (MED GREEN)

No Change

SAUDIZATION

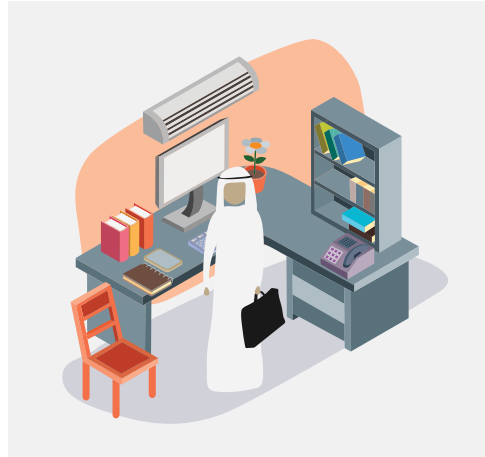
POSITIONS / DESIGNATIONS

02



Positions / Designations reserved for Saudi's only
in all Unitech KSA branches

Collections
Credit Control
HR/Admin Related
Graphic Designer
Social Media Executive
Receptionist
Security
Accountant (New Hires)
Invoicers (New Hires)
Secretary (New Hires)



Positions / Designations that will have almost 50
to 60% Saudi's in all Unitech KSA branches by 2020

Invoicers
Secretary
Accountant
Sales Coordinators
Warehouse Coordinators
Drivers
Local Purchasing

*This was discussed one on one with each
Branch Manager, this shall be one of the
criteria to evaluate the Branch Manager's
performance*

*This initiative is already applied in many branches
already many Saudi's have taken these
positions / designation*



Positions / Designations for which the Saudi's
will be hand-picked & trained

Sales Executives
Sales Engineers
Product Specialist
Key Account Executives

*The Sales Director & National Operations Manager
is made In-Charge of this Initiative*

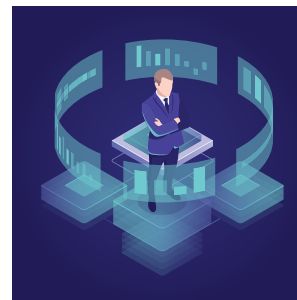
At Unitech we prefer internal over external training programs, as it is a cost-effective, encouraged, effective method for training employees. Internal training and development programs leap the huge barriers that encumber external training.

Internal training reflects a solid knowledge of the organization's culture. The Internal training uses real-life examples, problems, and challenges that participants encounter every day at work. Successful internal training identifies the exact skills and knowledge that participants need to succeed in their jobs. Internal training is presented in the language and terminology that participants understand and can relate to. Internal training develops the skills of employees and cements their own knowledge of the topic. The advantages and benefits of In-House training are summerize as follows:

- Training Cost Savings
- More Focused Training
- Real time tracking of progress
- Travel Cost Savings
- Can use current work examples
- Team Building

The In-House training not only allows the customization needed to make generic topics specific to the workplace, but also empowers employees to share what they know for the success of everyone in the organization. Some topics of Internal Training Conducted are mentioned below...

- Effective Budgeting
- Controlling Expenses
- Practical Right Sizing
- Executive Mentoring
- Product Portfolio & BCG Analysis
- Operating Working Capital
- Importance of Accounting
- Accounts & Accountability
- Code of Ethics
- CCC (Cash Conversion Cycle)
- Bank Exposure and many more...



ACCESS

Assess the company's skills shortages. The first thing to do is to establish what skills our company lacked, and which ones had a direct impact on employee performance, engagement, and loyalty. Then classify all these skills as a high, medium, or low priority. Develop a list of urgently needed education/training topics.



DESIGN

Design a program specific to skills shortages found within the company with experts. All companies have experts - employees who have a more profound knowledge of a particular subject & an interest in sharing that knowledge with others. This promotes a culture of learning & the experts will be excited by both the attention & the effort to improve the business.



TRAIN

Start by creating small classroom programs – very hands-on – and expanded it to include a self-directed workbook. Once the training is completed the employees are accountable for completing the tests and all the action items in their programs. Follow-up plans are created and managed by the employee's direct report managers/supervisors.

Such training programs were developed & executed especially for Saudi's in Unitech Dammam Branch and the impact is shown on the next page...

SAUDIZATION

TRAINING PROGRAMS (UNITECH DAMMAM BRANCH)

04

AS ON : 31ST OF DEC 2018

COMPANY SIZE : BIG SIZE COMPANY (500 TO 2,999)

RED%	YELLOW%	LOW GREEN%	MED GREEN%	HIGH GREEN%	PLATINUM%
00 23	24 29	30 33	34 38	39 44	45 100

TOTAL NO. OF EMPLOYEES : 80
 NO. OF SAUDI EMPLOYEES : 37
 NO. OF NON-SAUDI EMPLOYEES : 41
 OTHERS : 02
 PERCENTAGE : 46.25 (PLATINUM)

Highest in all Unitech Branches and this figure is most likely to increase

Unitech Dammam branch has the most productive Saudi Employees. Since 2015 with the application of Right Sizing Strategy coupled with In-house training, most of the non-saudi employees were replaced by saudi employees based on the performance evaluation mechanism. The positions taken by the saudi's in this particular branch is listed below...

- Collections
- Credit Control
- HR/Admin Related
- Invoicing
- Secretary
- Accounting
- Sales Coordinators
- Warehouse Coordinators
- Local Purchasing
- Receptionist
- Security



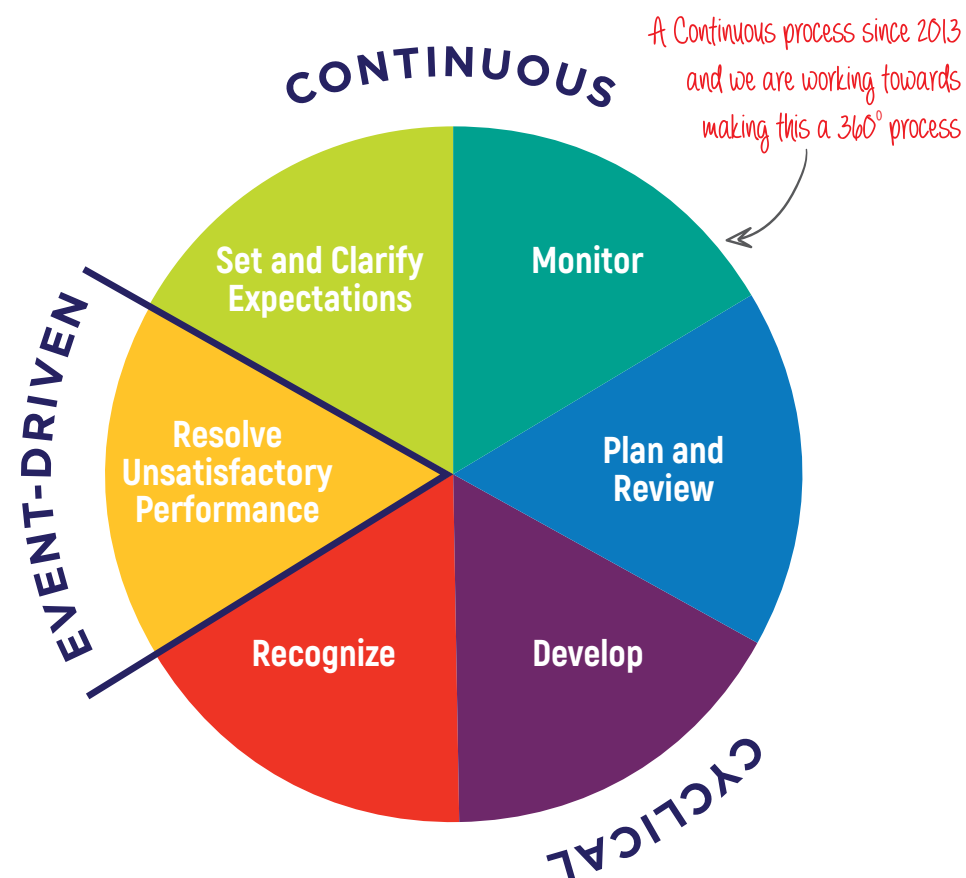
SAUDIZATION

SAUDI DEVELOPMENT FRAMEWORK

05

The Framework consists of six components that develop employee capabilities and link individual and team efforts and performance with the objectives and performance of Unitech. Each of the six components has essential elements that define the mandatory benchmarks for agency performance management systems.

		COMPONENT	ESSENTIAL ELEMENTS
CONTINUOUS		Set and Clarify Expectations Collaborative process between manager and employee to set performance expectations and clarify them on an ongoing basis.	Each employee should have an up-to-date description of their role, including required capabilities and responsibilities, linked to the organisation's strategy. All employees should understand IKK Group values, the capabilities required of them in their roles, and the deliverables for which they are accountable. All employees should be aware of the codes of conduct, policies, procedures and standards they are expected to observe.
		Monitor Ongoing joint evaluation of progress towards achieving work goals and expectations, involving regular two-way feedback.	All employees should have regular opportunities to discuss their work with their manager/supervisor & receive informal feedback on their performance (either individually or as a team). All employees should have the opportunity to provide informal and formal feedback (through a structured assessment method) to their manager.
CYCLICAL		Plan and Review Collaborative process between manager and employee to plan performance, linked to corporate objectives, with periodic reviews of progress towards achieving work goals.	All employees shall have an annual formal performance agreement with their manager that sets out individual performance objectives linked to corporate objectives as well as the capabilities they are required to demonstrate in their role. All employees should have a formal performance review at least once a year.
		Develop Collaborative process to identify and develop employees' capabilities with periodic reviews of progress.	Development plans are based on the capabilities required in the role, the employees' existing capabilities, and his/her performance objectives and/or career goals. Progress against development plans is formally reviewed at least once a year.
		Recognize Regular practice of recognising employee efforts and excellent performance outcomes and achievements.	Branches have guidelines in place to help managers appropriately recognise employees at the local level.
EVENT DRIVEN		Resolve Unsatisfactory Performance Process of addressing employee unsatisfactory performance.	Managers & Supervisors promptly work with the employee to understand and resolve instances or patterns of unsatisfactory performance.



WHAT IS POTENTIAL

At Unitech we define potential as the ability to be successful in a role that goes beyond a person's current responsibilities.

This new job could be a vertical or horizontal move, and when considering potential, we focus on the future.

Not to be confused

ASSESSING THE POTENTIAL

To go about accurately predicting potential, we need to have effective assessment processes in place. With the current skills shortage and war on talent, it makes sound business sense to start identifying the untapped potential already sitting inside your organization.

With the right strategy and tools in place, uncovering and identifying these talented individuals will become easier and part of your business process.

When employees realise you have discovered their future potential, they are much more likely to be engaged, committed and deliver consistently.

POTENTIAL VS. PERFORMANCE

Performance is a measure of an individual's ability to deliver results in their current job. Assessing performance is focused on the present, and will tell you how well a person is doing in their role today.

Potential is about what's ahead. A good potential assessment will evaluate whether an individual has what it takes to develop towards taking on different roles in the future.

POTENTIAL FOR WHAT

This matters because the assessment metrics will change; for instance if you're assessing potential to grow vertically (into top management), you'd be looking for something different from when you're exploring an individual's potential to take on a more role/responsibilities.

Despite these distinctions, there is an agreed academic common ground when it comes to what is core to any assessment of potential. This consensus is built around four important areas that are proven to be indicative of high development potential.

These are Cognitive skills, Attitude, Personality, Learning and Motivation



CRITERIA OF IDENTIFYING HIGH POTENTIAL (LEADERSHIP)

An individual who has the capacity to hold a leadership position at an organization. Once a high potential employee has been identified, the appropriate opportunities to develop can be accorded to him or her in preparation for their role as leaders in the organization.

The infographic highlights the criteria of identifying high potential... However all this comes down to an effective evaluation mechanism that will be set around this criteria.

